

became synonymous with value investing.¹⁷ It is easy to see why. He was the most famous of Graham's dedicated students, and Buffett himself never misses an opportunity to acknowledge the intellectual debt he owes Graham. Even today, Buffett considers Graham to be the one individual, after his father, who had the most influence on his investment life.¹⁸ He even named his firstborn son after his mentor: Howard Graham Buffett.

How, then, does Buffett reconcile his intellectual indebtedness to Graham with stock purchases like the Washington Post Company (1973), Capital Cities/ABC (1986), the Coca-Cola Company (1988), and IBM (2011)? None of these companies passed Graham's strict financial test, yet Buffett made significant investments in all of them.

As early as 1965, Buffett was becoming aware that Graham's strategy of buying cheap stocks had limitations.¹⁹ Graham, he said, would buy a stock so low in price that some "hiccup" in the company's business would allow investors to sell their shares at higher prices. Buffett called this strategy the "cigar butt" approach to investing. Walking down the street, an investor eyes a cigar butt lying on the ground and picks it up for one last puff. Although it's a lousy smoke, its bargain price makes the puff all the more worthwhile. For Graham's strategy to work consistently, Buffett argued, someone must play the role of liquidator. If not liquidator, then some other investor must be willing to purchase shares of your company, forcing the price of the stock upward.

Buffett explains: If you paid \$8 million for a company whose assets are \$10 million, you will profit handsomely if the assets are sold on a timely basis. However, if the underlying economics of the business are poor and it takes 10 years to sell the business, your total return is likely to be below average. "Time is the friend of the wonderful business," Buffett noted, "the enemy of the mediocre."²⁰ Unless he could facilitate the liquidation of his poorly performing companies and profit from the difference between his purchase price and the market value of the company's assets, his performance would, over time, replicate the poor economics of the underlying business.

From his earliest investment mistakes, Buffett began moving away from Graham's teachings. "I evolved," he once confessed, but "I didn't go from ape to human or human to ape in a nice even manner."²¹ He was beginning